

Hindustan Unilever Limited – Financial Model Documentation

Methodology, Assumptions and Valuation Framework

Nasim Ul Jilani – 08/05/26

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Objective:

The following document is designed to act as a guide detailing the architecture, the core assumptions, and simplifying the intricacies of a multi-scenario financial model built for **Hindustan Unilever Limited (HUL)**. The model bridges the gap between the company's historical data and future growth potential. Central to this model are the 3 Statement Model, encapsulating the past 9 years of Historical Financial Data, ensuring accounting accuracy, the Discounted Cash Flow Statement, and the Comparable Company Analysis, benchmarking the company to its domestic peers. The model is intended to provide a structured, evidence-based framework for evaluating HUL's intrinsic value and assessing its positioning relative to its domestic peers

Sources:

- **Financial Statements** – All historical data, including the Income Statement, the Balance Sheet and the Cash flow Statements have been sourced from **Screener.in**, covering the period FY2017 to FY2025. Screener compiles NSE filings and provides structured financials suitable for modelling.
- **Market Data** – Share Price, Outstanding Equity Shares and Market Capitalisation have been sourced from **Screener.in**.
- **Beta Calculation** – Historical 5-Year Monthly Price Data was extracted from **Investing.com**. The website provides historical price data in CSV format. The NIFTY 50 was used as a benchmark for beta regression.
- **Equity Risk Premium** – Calculated using 25 Years of annual return data sourced from **primeinvestor.in** applying the geometric mean method as suggested by **Prof. Aswath Damodaran** to normalise volatility in market returns.
- **Risk Free Rate** – The yield on the 10-year Government of India bond as published by the Reserve Bank of India prevailing at the time of model construction.
- **Comparable Company Data** – Trailing Twelve-month Data containing financial metrics for HUL and its domestic peers were sourced from **Screener.in**
- **Credit Rating** – HUL's AAA credit rating was sourced from CRISIL's recently published ratings, used to determine the precise credit spread for cost of debt estimation.

The 3 Statement Financial Model:

The 3 Statement Financial Model serves as the foundation for the model. Capturing 9 years of consolidated historical data (FY2017 to FY2025). The model utilises a clean, minimal design approach for observers to assess the historical data with ease. The model is automated by the use of Excel formulas and connects to the raw data in the datasheet. The model consists of an Income Statement, a Balance Sheet and a Cash Flow Statement.

- The Income Statement is designed to reflect the operations end of the Company. The Income Statement does not consider Other Incomes and Exceptional Items that are unrelated to business Operations.
- The Income Statement also consists of key ratios and margins, such as *Sales Growth, Gross Margin, EBITDA margin, etc.*, which are related to the items contained in the Income Statement.
- The statement also accounts for Earnings Per Share (*EPS*), Dividend Per Share (*DPS*), and Retained Earnings.
- Overall, the statement indicates the soundness of the company's fundamentals, where the past 9 years witnessed sales doubling from ₹ 33,000 crores in FY2017 to 63,000 crores in FY2025. However, for the past two financial years, the company has been reporting sales growth of 2.17% for FY2024 and 1.98% for FY2025 as opposed to FY2023, where sales grew by 15.51%.
- **Note:** In certain years, the Dividend Payout ratio exceeded 100% due to special dividend declarations funded by additional accumulated reserves, leading to unusual dividend payout ratio figures.

Ratio & Analysis:

Ratios aid in interpreting, analysing and comparing key financial metrics. The Ratio & Analysis sheet serve a similar purpose. The sheet compiles key ratios and margins derived from HUL's financial statements. The sheet also encapsulates ratios and changes in ratios with the help of a trendline, mean and median. Ratios help in benchmarking and comparing metrics across industry peers.

Key Insights:

- Over the years, HUL has consistently maintained **Gross** and **Net Margins** of **45%** and **15%**, respectively.
- The company is almost debt-free with a **Median Interest Coverage Ratio** of **110.79x**. This translates into the company's efficient debt service management.
- The ratios also highlight HUL's operational efficiency in the cash conversion cycle. The company converts its products into cash in 40 days and has loans from its suppliers for 241 days. The company holds funds for an additional 200 days.

Weighted Average Cost Of Capital (WACC):

Beta:

- The model employs a bottom-up beta approach to gauge the value of beta.
- The set of peers used to formulate the Beta were **Nestle, Dabur, Marico and Colgate-Palmolive**.
- The model takes 5-Year monthly price data for these companies and NIFTY 50 as a benchmark index to run a linear regression across two variables.
- Since the price data consists of 5 Year monthly data, any fluctuation or anomalies are normalised. Hence, the model adopts a different mean reversion adjustment to drift the beta, where a 0.75 weight is assigned to the company, and a 0.25 weight is assigned to the benchmark index.

Cost Of Equity (*ke*):

- The model uses the Capital Asset Pricing Model (*CAPM*) to calculate the cost of equity.
- Where,

- $R_f = 10\text{-year GOI Bond Yield} = 7.018$.
- $R_m = \text{Geometric mean 25 Year NIFTY 50 annual market returns} + \text{Dividend Yield}$
 $11.65 + 1.30 = 12.95$ (R_m)

Cost Of Debt (k_d):

- HUL is an AAA-rated company – The highest rating awarded by credit rating agencies to companies with the least default risk. The CRISIL rates HUL as a AAA-rated company, and alongside, provides a default spread guide to aid in assessing risks and the additional costs the companies have to bear while borrowing debt.
- AAA-rated companies usually have a default spread of 50 to 60 basis points. It means the company can borrow at 50-60 basis points above the country's prevailing risk-free rate

(Risk-free rate + default spread) less: taxes

$$7.018 + 0.55 = 7.568$$

- Observations, when combined, yield the Weighted Average Cost of Capital (WACC). HUL's WACC stands at **12.88%**

Discounted Cash Flow Statement (DCF):

- **Terminal Growth Rate Assumptions:**
 - The intrinsic growth rate calculations conclude a median reinvestment rate of **6.99%** and a median intrinsic growth rate of **1.45%** over the past 5 years.
 - The company has consistently maintained a dividend payout ratio of **92%**.
 - The four-year median Return on Invested Capital (ROIC) stands at **20.08%**.
 - HUL, being a mature company, the reinvestment calculations suggest that if the company has to achieve a growth rate of **5%** from its current **1.45%** by the end of the 5 Year forecasted period, the company would have to gradually increase its reinvestment rate from **6.99%** to **24.90%** of its earnings.
 - Hence, a growth rate of over **5%** will be inconsistent with company's reinvestment behaviour.
 - Therefore, the Terminal Growth Rate was assumed at **5%**
- Further, with necessary calculations, discounting Free Cash-flow to Firm (FCFF) to Present Value and calculating the Terminal Value using **Gordon's Growth Model**, we arrive at the Enterprise Value of ₹ **1,52,307.29** crores, further deducting debt and adding cash equivalents, which lands us at our equity value.
- The intrinsic equity value per share is ₹ **673.36**.
- As per the Discounted Cash-flow model, the current market price being ₹ **2,309.00**, the stock is trading at a premium of **3.43x**.
- **Scenario Analysis** accompanies the Discounted Cash Flow Statement.

- The scenario analysis provides insights into various scenarios, testing the change in equity value per share and Enterprise value when parameters like Weighted Average Cost Of Capital (WACC) and Terminal Growth Rate are tweaked.

Comparable Company Analysis:

- The comparable company analysis is a holistic approach to valuing companies based on key metrics. Benchmarking a company across different metrics to its peers provides key insights into how companies are valued at an industry level.
- Intrinsic valuation techniques might diverge from relative valuation as companies aren't always valued based on fundamentals or past performance. Sentiments, future potential, and investor confidence are some of the factors that impact valuation.
- The pool of comparable companies considered for HUL was **Nestle, Dabur, Colgate-Palmolive, Britannia Inds, Godrej Consumer and Marico**.
- The companies are valued across 3 valuation multiples, **EV/EBITDA, EV/Revenue, and Price/Earnings**.
- Gauging the enterprise value of HUL with the help of median valuation multiples, we get the following implied share price across valuation multiples:

Current Market Price: ₹ 2327.4

Valuation Multiple	Implied Share Price	Undervalued/Overvalued
EV/EBITDA	₹ 2368.1	Undervalued
EV/Revenue	₹ 2121.4	Overvalued
Price/Earnings	₹ 3704.8	Undervalued

Football Field Analysis:

- The financial model culminates at the Football Field Analysis.
- A Football Field Analysis offers a bird's-eye view of the model, which encapsulates different conclusions met after valuing a company across various valuation techniques.
- The football field analysis has been created by leveraging **Python** libraries like **Pandas** and **Matplotlib**.
- **Pandas** help in the extraction and tabulation of data, and **Matplotlib** visualises the data into a statistical representation, aiding the reader in decision-making

Conclusion:

The intrinsic value gauged with DCF yields that the stock is currently trading at a premium of **3.43x**. While the relative valuation yield contrasting results, highlighting the divergence in intrinsic and relative valuations. As per the relative valuation, the stock is undervalued in terms of EV/EBITDA and Price/Earnings, while it is overvalued in terms of the EV/Revenue multiple.

The key underlying reason for the divergence between Intrinsic and Relative valuation lies in a couple of factors

1. The company has delivered poor sales growth over the past two years, approximately 2%.
2. The company has a median dividend payout ratio of 92.3%, which implies the company reinvests minimally, reflecting limited high-return reinvestment opportunities relative to its earnings.
3. The company reinvests merely 6.99% (CAPEX + Net Working Capital).

On the other hand, the company sustains its position as a market leader, maintaining presence across 16 FMCG categories, ranging from healthcare to beauty to food.

A robust operational efficiency, in terms of Cash conversion cycle, a unique brand identity and investor confidence collectively fuel the valuation premium that a conventional DCF is unable to reflect.